

Basic Materials - China

Copper/Ally prices remain firm; TC/RC drops on tight supply; iron ore holds strong

Industry Overview

Spot copper TC/RC drops below -US\$100/t on tight supply

Supply disruptions remained a key support for copper prices this week. On one hand, recurring Middle East tensions continue to affect shipments through the Strait of Hormuz, keeping oil prices elevated and lifting smelting and logistics costs. On the other hand, Peru approved a US\$2bn state-backed loan for Petroperu on May 11 to sustain operations, highlighting ongoing strain in the local energy system and continued market concerns over potential mining supply disruptions. LME copper rose 2.8% WoW to USD 13,895/t, meanwhile, China spot copper prices also increased by 2.7% WoW to RMB 105,790/t. Meanwhile, spot TC/RC slid continued to decrease to a new record low of -USD 104/t, highlighting continued tightness in copper concentrate supply. LME aluminum rose by 5% WoW to USD 3,741/t, while the Changjiang spot price edged up by 0.6% WoW to RMB 24,370/t, with smelting margins improving to RMB 8,077/t. Gold fell by 3.7% WoW to USD 4,543/oz. Lithium carbonate narrowed by 1% WoW to RMB 192,000/t, while U₃O₈ inched up by 0.1% WoW to USD 86.1/lb. Shanghai cobalt spot prices edged down by 0.2% WoW to RMB 425,000/t; NdPr oxide prices fell by 2.5% WoW to RMB 738,200/t, and tungsten prices decreased sharply by 27% WoW to RMB 493,000/t.

Steel: Margins remain weak on high raw material costs

In the first half, speculation of a thermal coal supply meeting and capital outflows drove a sharp pullback in raw materials, dragging down the ferrous complex. In the second half, Trump's China visit and trade talks added volatility, though largely priced in. Five major steel products data showed mixed supply, stronger demand, and solid inventory drawdowns. Spot prices remained firm, but trades skewed to low levels; wider basis prompted arbitrage selling into spot. As of May 15, rebar and HRC prices fell by 1.3% and 0.7% WoW to RMB 3,416/t and RMB 3,482/t, respectively, amid a 0.1% WoW drop in iron ore prices to USD 111.5/t. Finished-steel inventories decreased by 4.3% WoW, while apparent steel consumption increased greatly by 8.4% WoW to 9.1 mnt. Steel margins remained weak, with rebar and HRC margins at -RMB 257/t and -RMB 213/t, respectively.

Cement/Glass/Paper: Weak performance

Cement: The average national cement price inched up by 0.4% WoW to RMB313/t as of May 15th. The nationwide shipment ratio rose by 1.1ppts WoW to 43.9%, and the inventory ratio also increased by 1.2% to 65.4%. In mid-May, price trends diverged by region. North China and Central-South saw corrective price increases driven by higher coal and raw material costs, while Northeast, East China, and Northwest markets remained weak, with continued price declines dragging down the national average.

Glass: National average float glass price (incl. VAT) inched down by 0.05% WoW to RMB1,150.8/t amid weak demand capped upside. Our analysis shows Xinyi float glass GPM edged down by 0.4ppts to 11.7%. **Paper:** Paper prices edged up by 0.3% WoW to RMB3,652/t as of May 13 amid narrowing supply-demand gap. **Solar glass:** Our calculation shows Flat Glass GPM (2.0mm) and Xinyi Solar GPM (2.0mm) down 9.2%/21.1% WoW.

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See glossary at the end of the report

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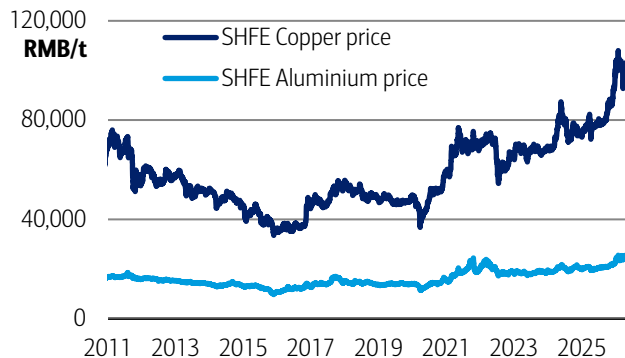
Refer to important disclosures on page 13 to 15.

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Key charts

Exhibit 1: Copper and aluminum spot prices

LME copper price +2.8% WoW to US\$13,895/t and LME aluminum price was +5.0% WoW at USD 3,741/t as of May 15

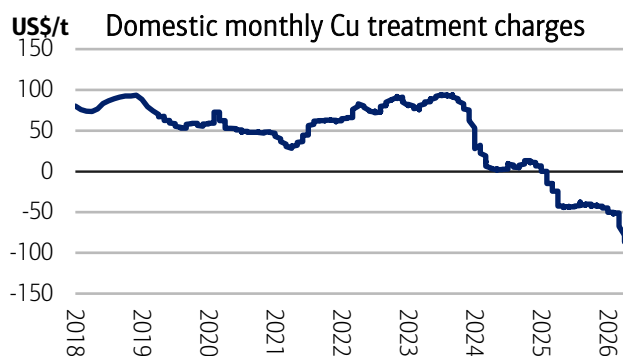


Source: Bloomberg, BofA Global Research

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Exhibit 3: Domestic monthly treatment charges on Cu concentrate

Domestic monthly treatment charges on copper concentrate: -US\$103.72/t as of May 15

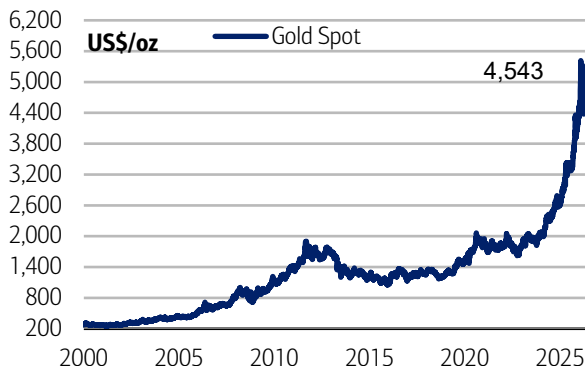


Source: Wind, BofA Global Research

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Exhibit 5: COMEX gold spot price

COMEX gold (spot) price decreased by 3.7% WoW to US\$4,543/oz as of May 15

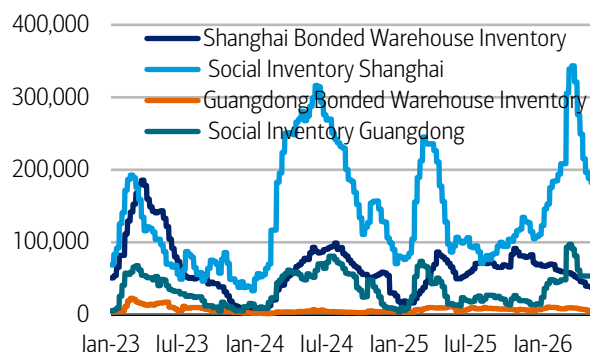


Source: Bloomberg, BofA Global Research

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Exhibit 2: Copper social inventory

As of May 15, Shanghai bonded warehouse inventory/Shanghai social inventory was -2.7% / +4.5% WoW; Guangdong bonded warehouse inventory/Guangdong social inventory was +2.6% / flattish WoW

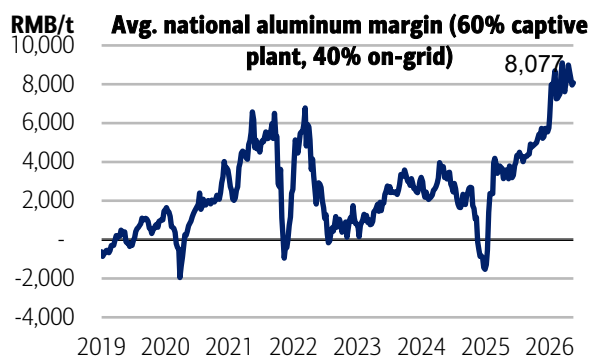


Source: Bloomberg, BofA Global Research

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Exhibit 4: Avg. national aluminum margin (60% captive plant)

Avg. national aluminum margin rose by RMB 115/t WoW to RMB8,077/t as of May 15

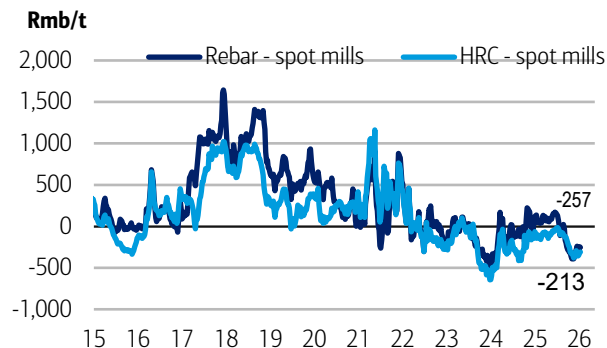


Source: Bloomberg, SMM, Wind, BofA Global Research

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Exhibit 6: Spot cash margins at steel mills

By May 15, spot rebar cash margins rose by RMB 23/t to -RMB 257/t, while spot HRC cash margins decreased by RMB 30/t to -RMB 213/t



Source: Wind, BofA Global Research

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Exhibit 7: Containerboard margin tracker

Nine Dragons margin tracker is now indicating NP/t of RMB118/t for this week

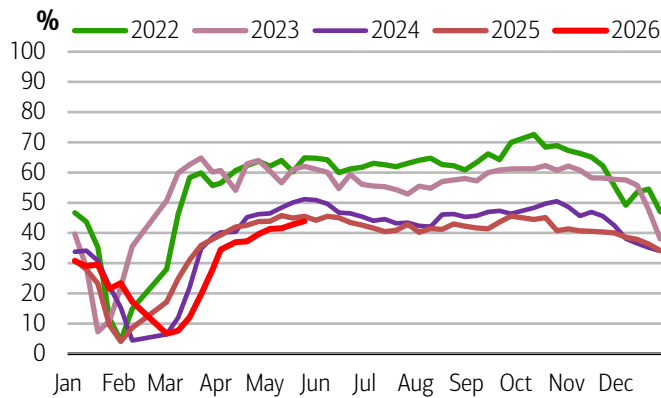


Source: Wind, BofA Global Research

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Exhibit 9: China national cement shipment ratio

The nationwide shipment ratio rose by 1.1ppts WoW to 43.9% as of May 15

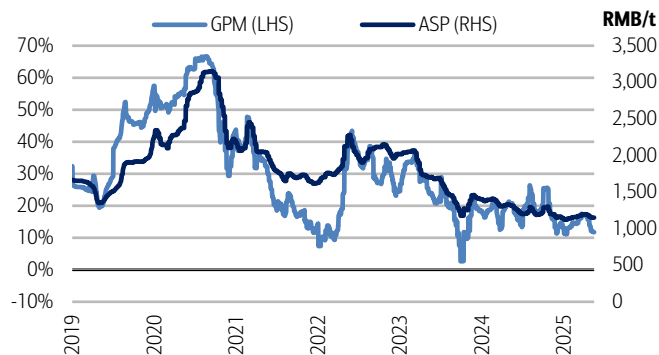


Source: Digital cement, BofA Global Research

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Exhibit 10: National Float Glass Price and Xinyi Float Glass GPM

As of May 14th, the national average float glass price inched down by 0.05% WoW to RMB1,150.8/t. Our analysis shows Xinyi float glass GPM edged down by 0.4ppts to 11.7%



Source: SCI99, Wind, BofA Global Research, SCI99

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Exhibit 8: ASP at Qinhuangdao port (Kcal 5,500)

ASP of QHD 5,500kcal spot price rose by 2.3% WoW to RMB830/t as of May 13

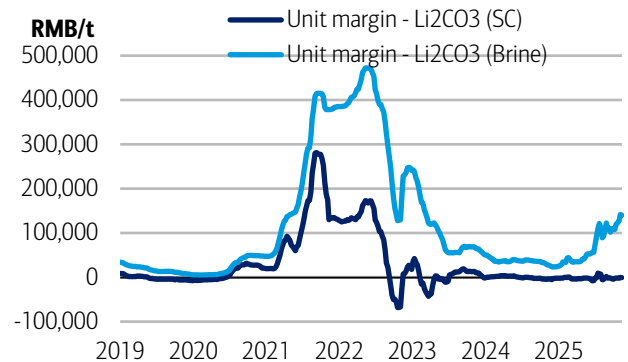


Source: Sxcoal, BofA Global Research

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Exhibit 5: Lithium carbonate unit refining margin

Current lithium carbonate refining margin based on spodumene has narrowed and still stayed negative amid decreasing spodumene price

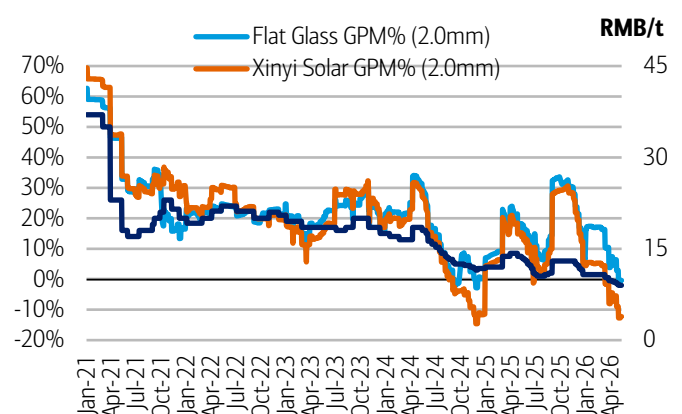


Source: SMM, BofA Global Research, SCI99

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Exhibit 11: China Solar Glass Price vs GPM (%)

Spot 3.2mm coated solar glass mid-point prices remained flat WoW as 15.25/sqm while 2.0mm coated solar glass mid-point prices down RMB 0.55/sqm to RMB8.45/sqm



Source: Wind, SCI99, BofA Global Research

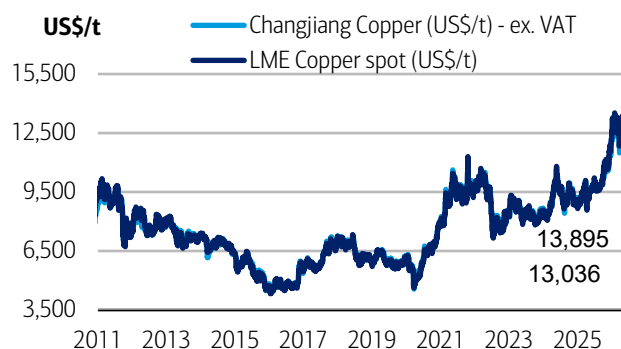
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Spot copper TC/RC drops below -US\$100/t on tight supply

Supply disruptions remained a key support for copper prices this week. On one hand, recurring Middle East tensions continue to affect shipments through the Strait of Hormuz, keeping oil prices elevated and lifting smelting and logistics costs. On the other hand, Peru approved a US\$2bn state-backed loan for Petroperu on May 11 to sustain operations, highlighting ongoing strain in the local energy system and continued market concerns over potential mining supply disruptions. LME copper rose 2.8% WoW to USD 13,895/t, meanwhile, China spot copper prices also increased by 2.7% WoW to RMB 105,790/t. Meanwhile, spot TC/RC slid continued to decrease to a new record low of -USD 103.72/t, highlighting continued tightness in copper concentrate supply. LME aluminum rose by 5% WoW to USD 3,741/t, while the Changjiang spot price edged up by 0.6% WoW to RMB 24,370/t, with smelting margins improving to RMB 8,077/t. Gold fell by 3.7% WoW to USD 4,543/oz. Lithium carbonate narrowed by 1% WoW to RMB 192,000/t, while U_3O_8 inched up by 0.1% WoW to USD 86.1/lb. Shanghai cobalt spot prices edged down by 0.2% WoW to RMB 425,000/t; NdPr oxide prices fell by 2.5% WoW to RMB 738,200/t, and tungsten prices decreased sharply by 27.3% WoW to RMB 493,000/t.

Exhibit 12: Price comparison in LME & Changjiang copper

LME copper price +2.8% WoW to US\$13,895/t and Changjiang price +2.7% WoW to RMB105,790/t (US\$13,036/t ex.VAT) as of May 15

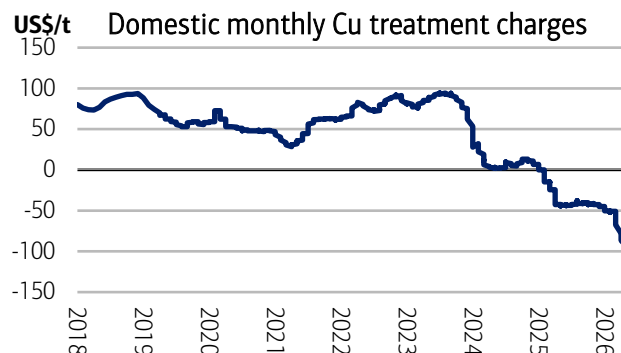


Source: Bloomberg, BofA Global Research

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Exhibit 13: Domestic monthly treatment charges on Cu concentrate

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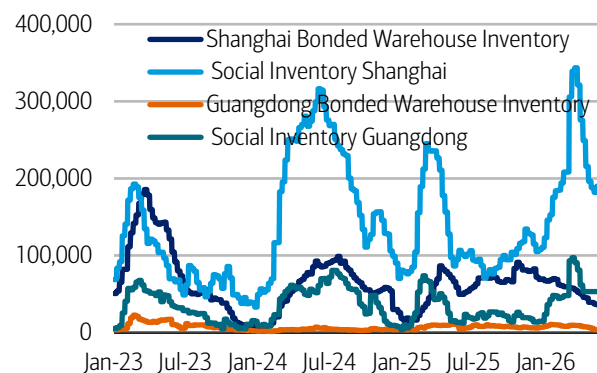


Source: Wind, BofA Global Research

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Exhibit 14: Copper social inventory

As of May 15, Shanghai bonded warehouse inventory/Shanghai social inventory was -2.7% / +4.5% WoW; Guangdong bonded warehouse inventory/Guangdong social inventory was +2.6% / flattish WoW

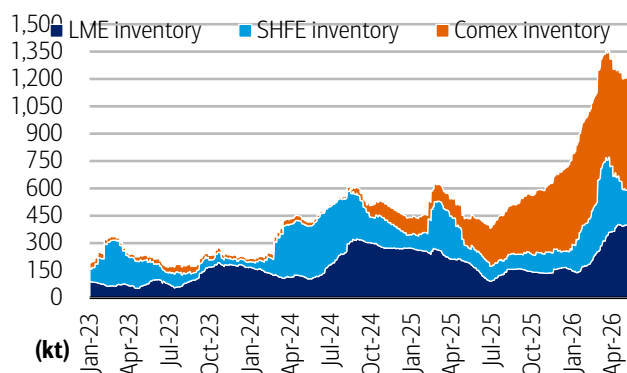


Source: Bloomberg, BofA Global Research

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Exhibit 15: Copper inventory at exchanges

As of May 15, SHFE copper inventory remained flat WoW as 181kt; LME copper inventory inched down by 0.6% WoW to 397kt; COMEX copper inventory rose by 0.7% WoW to 625kt



Source: Bloomberg, BofA Global Research

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Exhibit 16: Price comparison in LME & Changjiang Aluminum

LME aluminum price was +5.0% WoW at USD 3,741/t and Changjiang price +0.6% WoW to RMB24,370/t (USD3,166/t ex.VAT) as of May 15

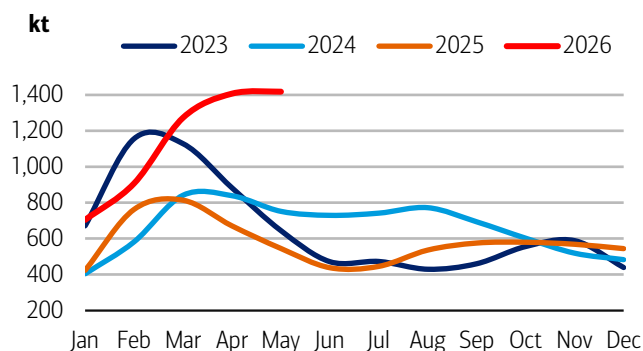


Source: Bloomberg, BofA Global Research

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Exhibit 18: Aluminum ingot inventory

Domestic aluminum ingot inventory was -3.2% WoW to 1,390kt as of May 14

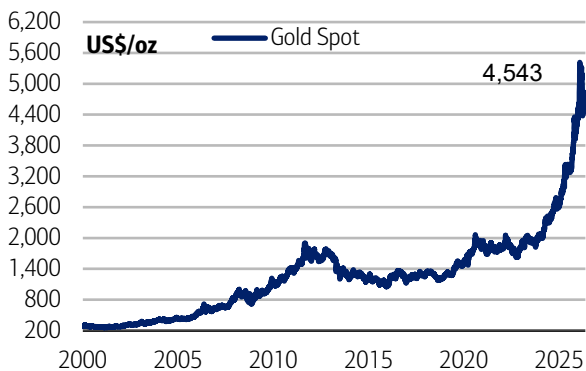


Source: SMM, BofA Global Research

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Exhibit 20: COMEX gold spot price

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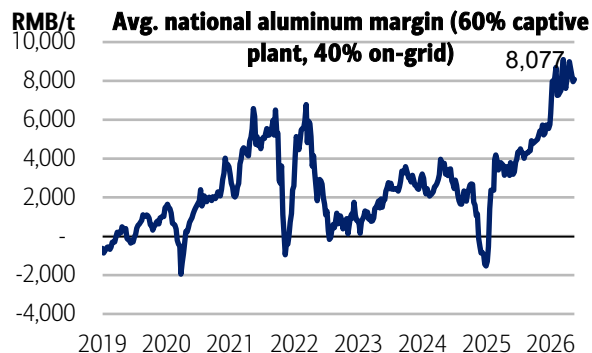


Source: Bloomberg, BofA Global Research

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Exhibit 17: Avg. national aluminum margin (60% captive plant)

Avg. national aluminum margin rose by RMB 115/t WoW to RMB8,077/t as of May 15



Source: Bloomberg, SMM, Wind, BofA Global Research

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Exhibit 19: Domestic alumina prices

Domestic alumina price settled higher at RMB2,685/t as of May 15

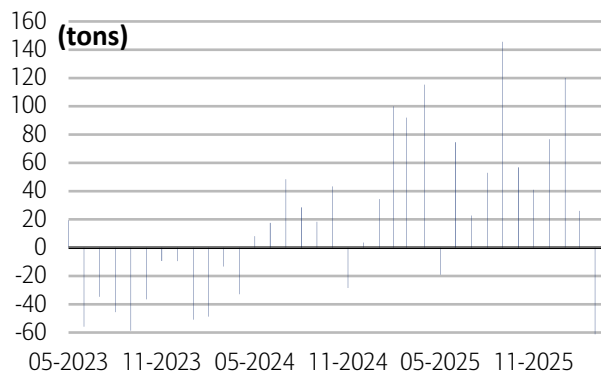


Source: Wind, BofA Global Research

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Exhibit 21: Global gold ETF monthly flows

Global gold ETF had 45t net inflows in Apr 2026, +153% mom

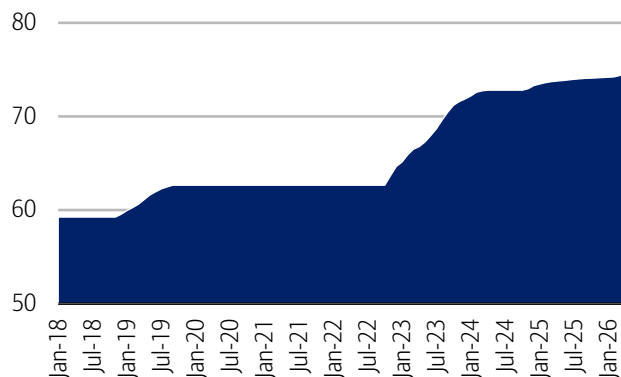


Source: World Gold Council, BofA Global Research

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Exhibit 22: China central bank gold reserves

China gold reserves was slightly increased mom to 74.64mn ounce in Apr 2026

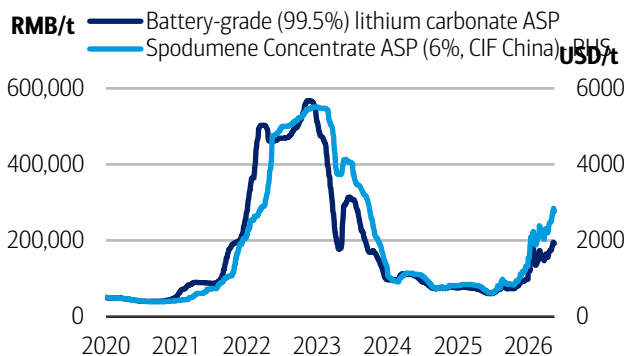


Source: China State Administration of Foreign Exchange, BofA Global Research

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Exhibit 24: Domestic battery-grade lithium carbonate ASP

As of May 15, domestic battery-grade lithium carbonate (99.5%) price fell by 1.0% WoW to RMB192,000/t



Source: SMM, BofA Global Research

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Exhibit 26: UxC Uranium U3O8 Weekly Spot Price (USD/lbs)

Uranium U3O8 spot price +0.1% WoW to US\$86.1/lbs

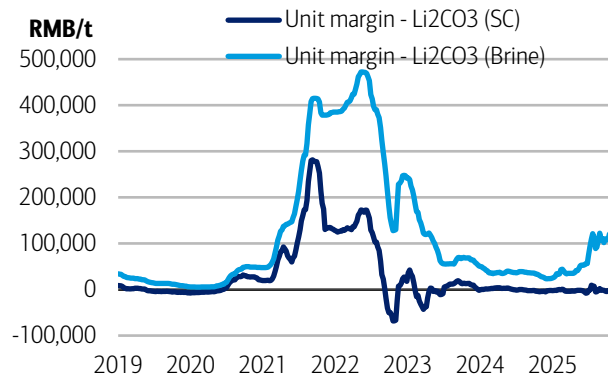


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Exhibit 23: Lithium carbonate unit refining margin

Current lithium carbonate refining margin based on spodumene has narrowed and still stayed negative amid decreasing spodumene price

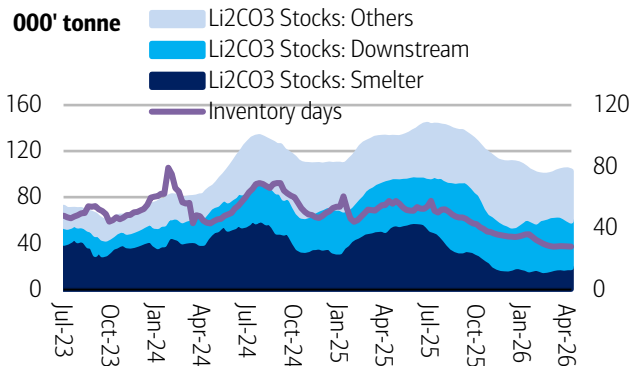


Source: SMM, BofA Global Research

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Exhibit 25: Domestic lithium carbonate inventory

China lithium carbonate inventory was -0.89% WoW to 102.7kt



Source: SMM, BofA Global Research

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Exhibit 27: China Shanghai Changjiang Cobalt Spot Price (RMB/ton)

China Shanghai Changjiang Cobalt Spot Price -0.2% WoW to RMB 425k/t



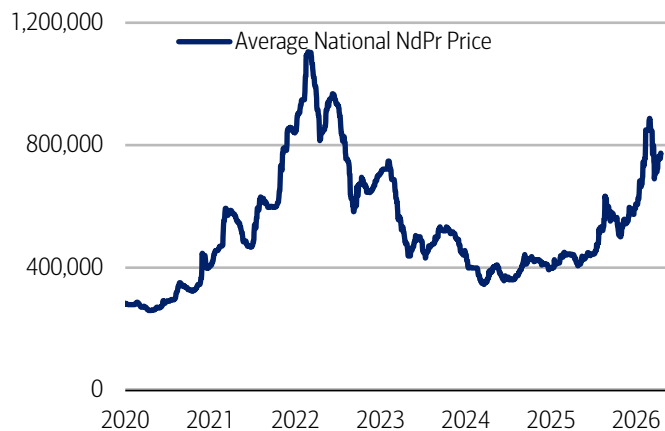
Source: Bloomberg, BofA Global Research

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Exhibit 28: National average NdPr oxide price

National average NdPr oxide price -2.5% WoW to RMB738,200/t

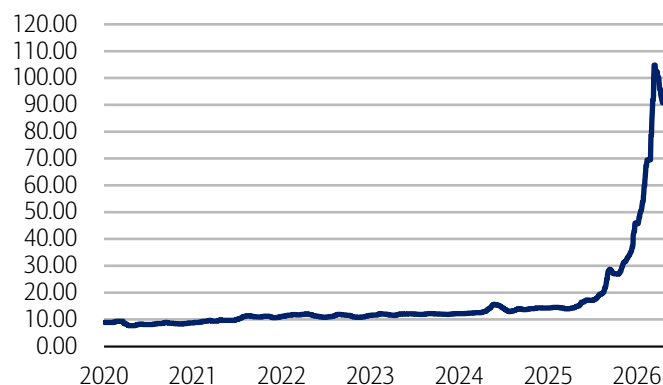


Source: Wind, BofA Global Research

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Exhibit 29: National average black tungsten concentrate (Wolframite) price, (65% WO₃, RMB/ton)

National average black tungsten concentrate price -27.3% WoW to RMB 493k/t



Source: Wind, BofA Global Research

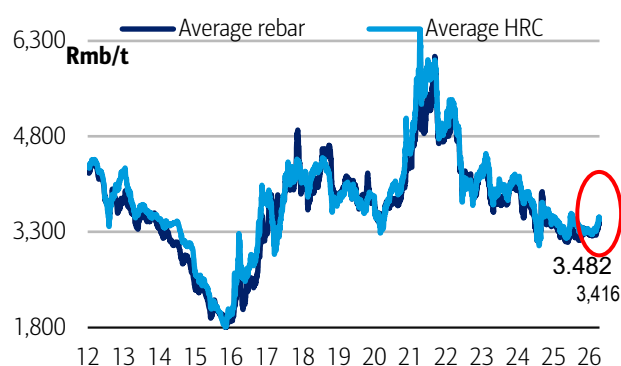
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Steel: Margins remain weak on high raw material costs

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Exhibit 30: China domestic steel prices at key cities

By May 15, domestic rebar prices across major cities (Beijing, Guangzhou, Shanghai, Shenyang, Wuhan) fell by 1.3% WoW to RMB 3,416/t, and domestic HRC prices also inched down by 0.7% WoW to RMB 3,482/t

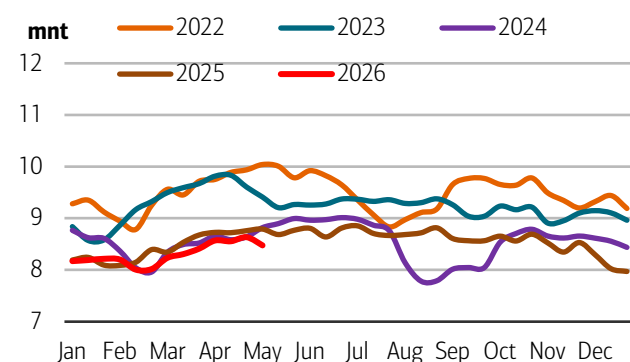


Source: Wind, BofA Global Research

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Exhibit 32: Weekly China Steel Output

Finished-steel output (rebar, HRC, wire rod, CRC and plate) for the week ending May 15 inched up by 0.05% WoW to 8.4 mnt. Rebar output increased by 2.4% WoW to 2.01 mnt, while HRC output fell by 1.3% WoW to 2.97 mnt

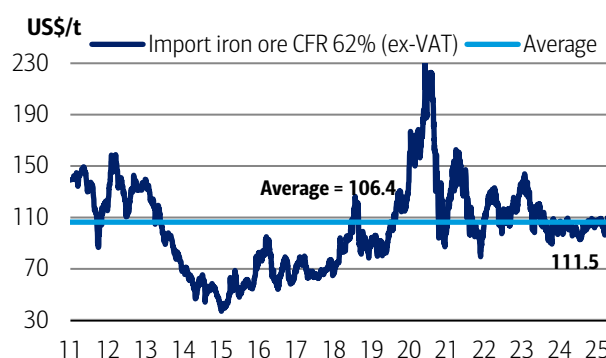


Source: Wind, BofA Global Research

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Exhibit 31: Imported iron ore CFR 62% prices at Tianjin Port

As of May 14, iron ore -0.1% WoW to USD 111.5/t, while the long-term average remained stable at USD 106.4/t

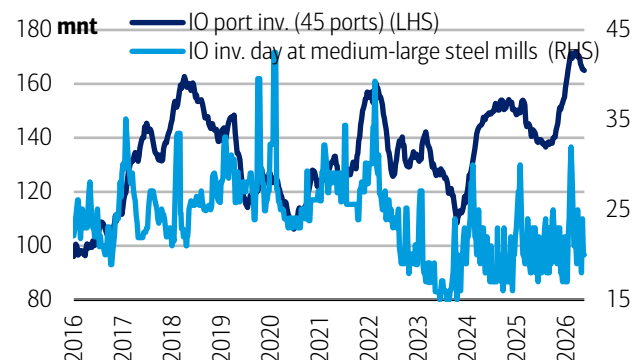


Source: Wind, BofA Global Research

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Exhibit 33: Iron ore inventory at large-medium steel mills and at ports

As of May 15, iron ore port inventories across 45 ports inched down by 0.1% WoW to 165.0 mnt



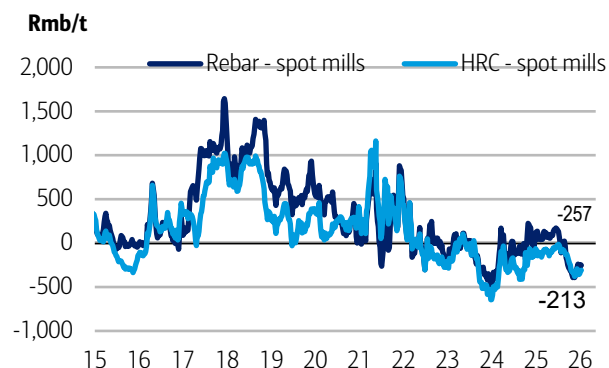
Source: Mysteel, BofA Global Research

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Exhibit 34: Spot cash margins at steel mills

By May 15, spot rebar cash margins rose by RMB 23/t to -RMB 257/t, while spot HRC cash margins decreased by RMB 30/t to -RMB 213/t

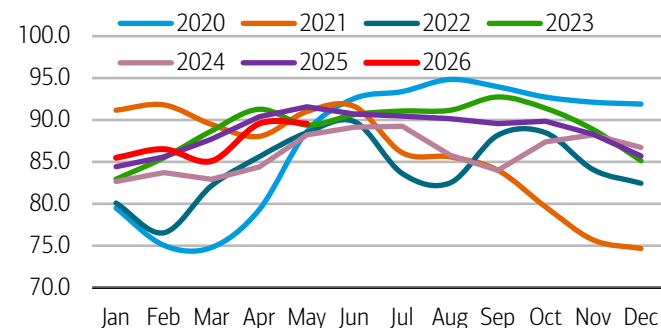


Source: Wind, BofA Global Research

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Exhibit 36: Utilization rates of blast furnaces across the nation

According to Mysteel, national blast-furnace utilization kept inched up by 0.2 WoW as 89.7% as of May 15, while the operating rate across 247 surveyed steel mills inched up by 0.3% WoW to 83.5%

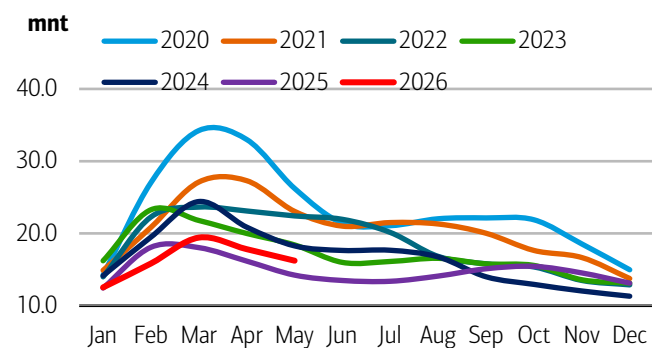


Source: Mysteel, BofA Global Research

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Exhibit 38: Steel inventory

By May 15, finished-steel inventories (rebar, wire rod, HRC, CRC and plate) narrowed by 4.3% WoW to 15.8 mnt

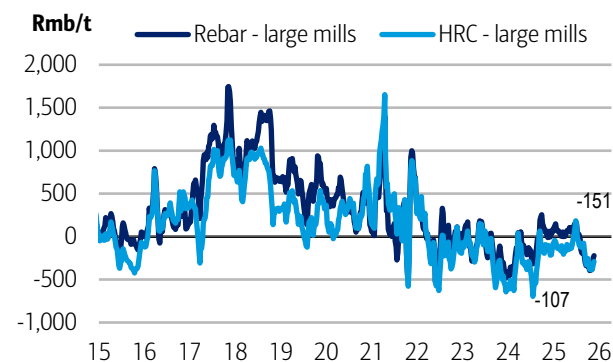


Source: Mysteel, BofA Global Research

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Exhibit 35: Cash margins at large mills (inventory lag)

By May 15, rebar cash margins at large mills improved by RMB 75/t to -RMB 151/t, while HRC cash margins also increased by RMB 21/t to -RMB 107/t

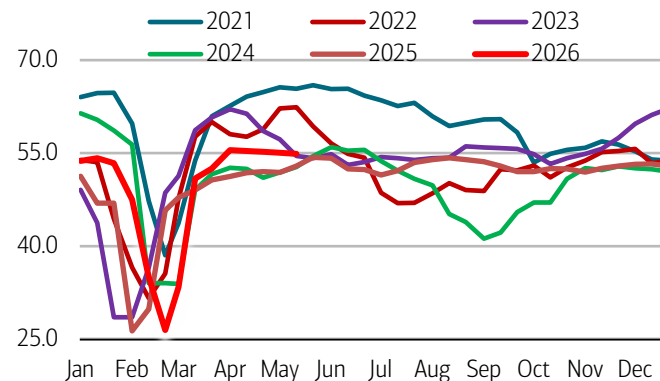


Source: Wind, BofA Global Research

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Exhibit 37: Operating rate of Electric-arc-furnace (EAF) mills

The operating rate of EAF mills inched up by 0.4ppts WoW to 55.25% in the week ending May 15

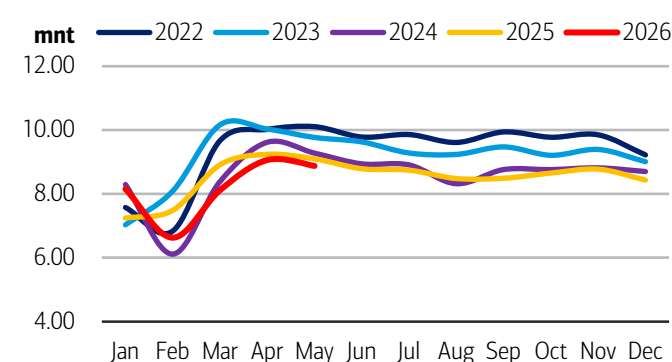


Source: Custeel, BofA Global Research

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Exhibit 39: Steel apparent consumption

Steel apparent consumption (rebar, wire rod, HRC, CRC and plate) improved by 8.4% WoW to 9.1 mnt



Source: Mysteel, BofA Global Research

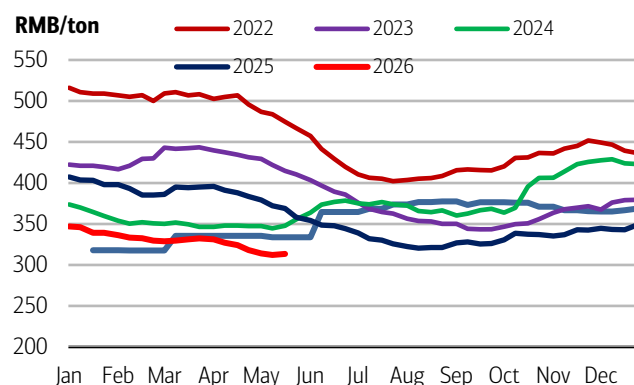
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Cement: Regional divergence in prices amid mixed demand conditions

The average national cement price inched up by 0.4% WoW to RMB313/t as of May 15th. Specifically, prices in Hebei, Henan, Hunan, Guangdong, and Xizang rose by RMB20-30/t, while prices in Liaoning, Jiangsu, Shandong, Shaanxi, and Ningxia declined by RMB10-50RMB/t. The nationwide shipment ratio rose by 1.1ppts WoW to 43.9%, and the inventory ratio also increased by 1.2% to 65.4%. In mid-May, price trends diverged by region. North China and Central-South saw corrective price increases driven by higher coal and raw material costs, while Northeast, East China, and Northwest markets remained weak, with continued price declines dragging down the national average.

Exhibit 27: National average Cement price

The average national cement price +0.4% WoW to RMB313/t as of May 15

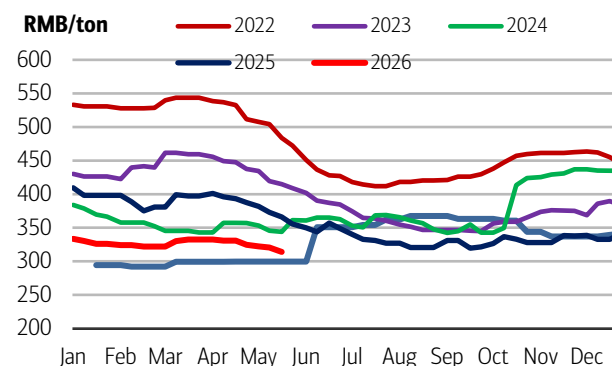


Source: Digital Cement, BofA Global Research

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Exhibit 40: East China average cement price

As of May 15, East China cement prices fell by 2.1% WoW to RMB314/t WoW

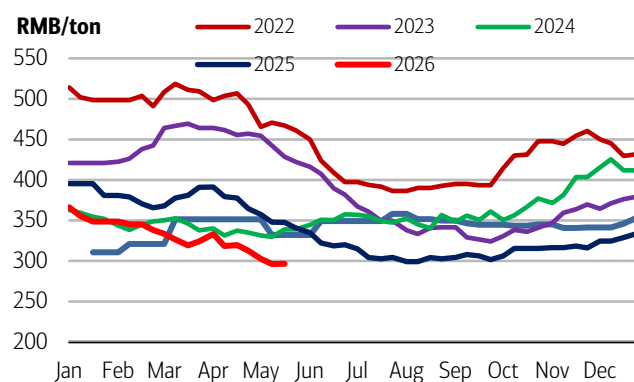


Source: Digital Cement, BofA Global Research

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Exhibit 27: Central South China average cement price

As of May 15, Central South China cement prices increased by 5.7% WoW to RMB314/t

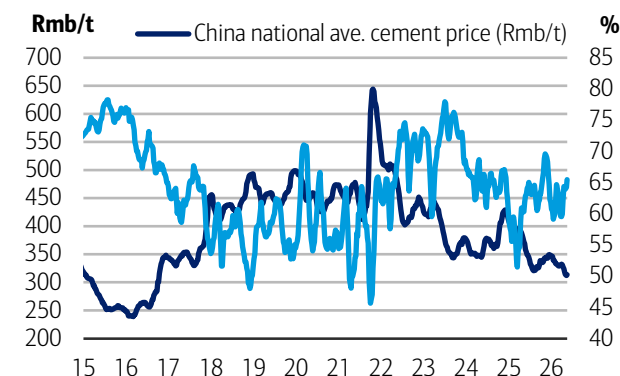


Source: Digital Cement, BofA Global Research

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Exhibit 41: China national average cement prices vs inventory

Prices edged up while inventory trended higher WoW



Source: Digital Cement, BofA Global Research

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Glass/Paper: Weak performance

Glass: National average float glass price (incl. VAT) inched down by 0.05% WoW to RMB1,150.8/t amid weak demand capped upside. The soda ash price edged down by 0.2% to RMB1,278/t as of May 14. National direct supplied pipeline natural gas remains RMB2.30/cbm. Our analysis shows Xinyi float glass GPM edged down by 0.4ppts to 11.7%.

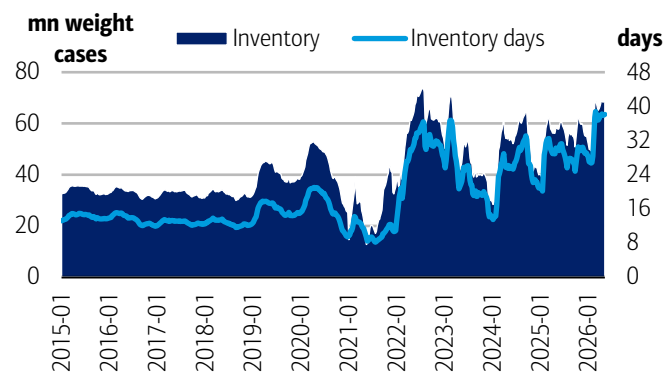
Inventory and capacity: As of May 14, national inventory was 68.92mn weight case, representing 38.12 inventory days. Nationally effective capacity of all float glass lines increased to 147,635t/d.

Paper: Paper prices edged up by 0.3% WoW to RMB3,652/t as of May 13 amid narrowing supply-demand gap. **Waste paper:** In the domestic market, the China OCC average increased by 1.5% WoW to RMB1,701/t. **Spread:** The Nine Dragons margin tracker is now indicating NP/t of RMB118/t for this week.

Solar glass: Spot 3.2mm coated solar glass mid-point prices remained flat WoW as 15.25/sqm while 2.0mm coated solar glass mid-point prices down RMB 0.55/sqm to RMB8.45/sqm. Our calculation shows Flat Glass GPM (2.0mm) and Xinyi Solar GPM (2.0mm) down 9.2%/21.1% WoW. Solar glass daily capacity remained flat WoW as 86,800t/day and inventory days expanded 7.1% WoW to 52.82 during the week-ended on 14 May 2026.

Exhibit 42: Glass Inventory & Inventory day

As of May 14, glass producers' inventory from monitored provinces was 68.92mn weight case, representing 38.12 inventory days

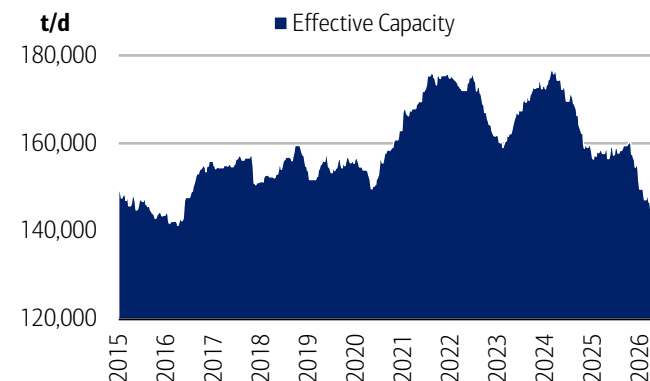


Source: BofA Global Research, Wind, SC199

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Exhibit 43: Glass effective capacity

As of May 14, there are 264 float glass production lines nationwide, of which 203 are currently operating. Nationally effective capacity of all float glass lines remained the same as 147,635t/d

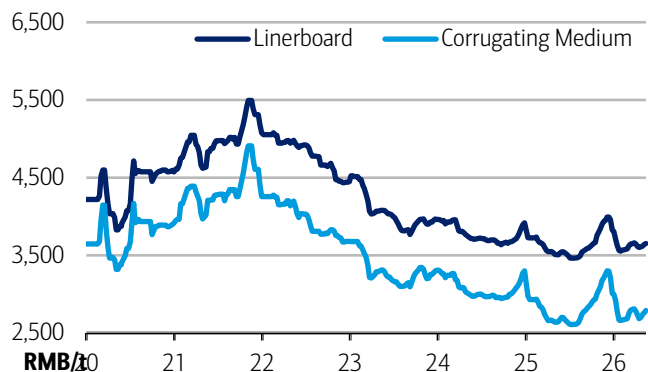


Source: BofA Global Research, Wind, SC199

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Exhibit 44: China linerboard and corrugating medium price

As of May 13, national average linerboard price edged up by 0.3% WoW to RMB3,652/t; national average corrugating medium price was +1.0% WoW to RMB2,789/t. Blended paper price rose by 0.4% to RMB3,460/t

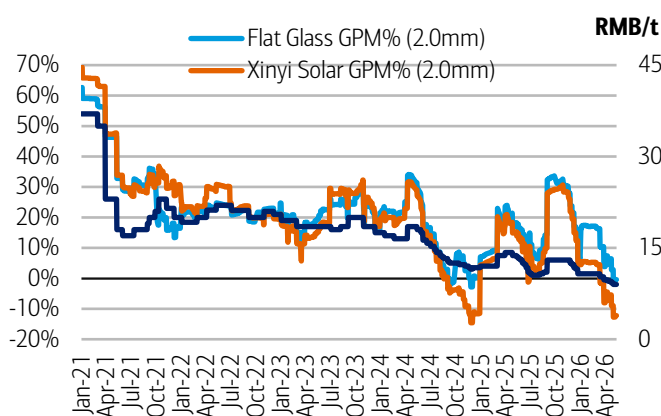


Source: UMPaper, RISI

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Exhibit 46: China Solar Glass Price vs GPM (%)

Spot 3.2mm coated solar glass mid-point prices remained flat WoW as 15.25/sqm while 2.0mm coated solar glass mid-point prices down RMB 0.55/sqm to RMB8.45/sqm



Source: Wind, SCI99, BofA Global Research

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Exhibit 45: Nine Dragons margin tracker

Nine Dragons margin tracker is now indicating NP/t of RMB118/t for this week

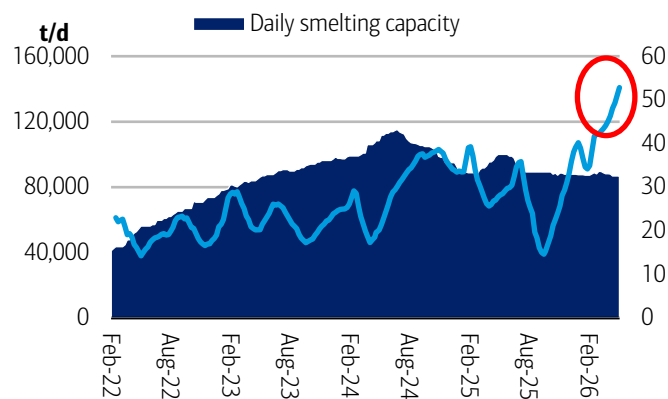


Source: UMPaper, RISI, BofA Global Research

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Exhibit 47: China Solar Glass Production and Inventory

Solar glass daily capacity remained flat WoW as 86,800t/day and inventory days expanded 7.1% WoW to 52.82 during the week-ended on 14 May 2026



Source: SCI99, BofA Global Research

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Appendix

Exhibit 46: Glossary

Summary of terminologies/abbreviation mentioned in the report

Abbreviation	Elaboration
WoW	Week-on-Week
MoM	Month-on-Month
ASP	Average Selling Price
ETF	Exchange-traded fund
HRC	Hot Rolled Coil
LME	London Metal Exchange
TC/RC	Treatment charges/Refining charges
SHFE	Shanghai Futures Exchange
OCC	Old Corrugated Containers
ND	Nine Dragon Paper (02689 HK)
GPM	Gross Profit Margin
NP	Net Profit



Exhibit 46: Glossary

Summary of terminologies/abbreviation mentioned in the report

Abbreviation	Elaboration
QHD 5,500kcal	Qinghuangdao port 5,500kcal thermal coal
NEWC 6,000K	Newcastle 6000kcal thermal coal
Liulin No.4 HCC	Liulin No.4 hard coking coal
Li ₂ CO ₃	Lithium carbonate
LiOH	Lithium hydroxide
BF	Blast Furnace
EDF	Electric arc furnace
UTR	Utilization rate
PV	Photovoltaic
Ally	Aluminium
POE	Polyolefin Elastomer
EVA	Ethylene-vinyl acetate
COMEX	New York Mercantile Exchange and Commodity Exchange
UTR	Utilization rate
SMM	Shanghai Metals Market
px	Price
CPC	Communist Party of China
IO	Iron ore
NdPr	Neodymium-Praseodymium
WO ₃	Tungsten Trioxide

Source: BofA Global Research

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R1}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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